This is applicable in the context of a cause of action for concealment where, from the nature of the allegations, the defendant must necessarily possess full information concerning the facts. (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384, citations omitted.)

The problem here is that the cross-complainant and its managing member can provide more specificity. They likely know, for example, whether there was one conversation or more, what was said, whether the communication(s) was via phone or in person, which individual made the representation(s) concerning financial hardship and inability to pay rent, and which individual represented that no Covid relief was awarded. The lack of specificity, combined with the allegations against the individuals as a group, cause uncertainty and, potentially, also a failure to plead sufficient facts. The defect is readily curable, however, as cross-complainant points out, so leave to amend is warranted.

The demurrer to the fifth cause of action is sustained with leave to amend.

(2) Demurrer by Milad and Mehrdad Hejazian to all Causes of Action

As for the demurrers by Milad and Mehrdad Hejazian, neither is a signatory to any of the contract documents referred to in the pleading. In response to the demurrer, cross-complainant provides minimal analysis and no citations to authority for the position that designating Milad Hejazian as Manager and Mehrdad Hejazian as "signatory" is sufficient to allege contractual causes of action against them.

While numerous allegations refer to "Individual Tenants," they are not "tenants" pursuant to any document attached to the cross-complaint, or subject to judicial notice. Because all the causes of action, aside from fraud, generally require a contractual relationship or possession of the premises (for unlawful detainer), the current allegations are insufficient to constitute a cause of action against Milad or Mehrdad Hejazian, even assuming they did represent themselves as agents of the restaurant.

Milad and Mehrdad Hejazian's demurrer must therefore be sustained in full, with leave to amend.

4. 9:00 AM CASE NUMBER: C25-02209
CASE NAME: BRASS DOOR RESTAURANT INCORPORATED VS. 8 TO 5 PROPERTIES LLC
EXPUNGE LIS PENDENS
FILED BY: HEJAZIAN, MILAD
TENTATIVE RULING:

The motion to expunge *lis pendens*, filed by individual plaintiff / cross-defendant, Milad Hejazian, is **GRANTED**, as discussed below.

A. Background

This is a commercial lease dispute. In relevant part, the verified cross-complaint (filed by landlord, 8 to 5 Properties, LLC) alleges that the individuals named therein have committed fraud by misleading landlord into believing that they had failed to receive any Covid relief when, in fact, they had received such funds. The individuals then used the Covid relief money from the government to purchase a parcel of residential property in Alamo.

B. Motion and Opposition

Milad Hejazian, one of the named cross-defendants, moves to expunge the *lis pendens* both on the grounds that the cross-complaint does not contain a real property claim relating to the Alamo property, and because the cross-complainants cannot establish the probable validity of any such claim if one exists. In support of the motion, he submits a declaration from counsel, attaching various documents and identifying Milad Hejazian as the adult son of restauranteur Shahla Azad, one of the two signatories on the lease.

Cross-complainant, 8 to 5 Properties, LLC, opposes the motion. (The opposition brief is captioned "Cross-Defendants' Opposition," but is actually the opposition brief of the one cross-*complainant*, 8 to 5 Properties, LLC.) In support of the opposition, 8 to 5 Properties, LLC submits a declaration from Nancy Schlesinger, the LLC's managing member, wherein she states the cross-defendants represented they were unable to meet their obligations for rent and to their employees, and had not been able to secure a loan for small businesses. She attaches an email to this effect. Schlesinger states she relied on the representation in executing an amendment of the lease in June of 2020 which forgave some rent and reduced several months' rent. Schlesinger further states her belief that cross-defendants actually did receive Covid relief funds, but diverted them to purchase 10 Hi Eagle Road, Alamo, California. She bases this belief on a website's listing of government assistance, a printout of which she requests judicial notice, and on unspecified "recorded documents." The evidence is consistent with the verified cross-complaint, which, generously interpreted, alleges fraud in paragraphs 10-13 and 47-55.

In reply, Milad Hejazian argues 8 to 5 Properties, LLC has not met its burden to show the probable validity of a real property claim and distinguishes the cases on which it relies.

C. Request for Judicial Notice

Cross-complainant requests judicial notice of two purported screenshots from webpages it contends show money Brass Door received. The printouts show no authenticating features or specific dates. Assuming they are screenshots of websites managed by the government, there is no "official Web site" provision for judicial notice in California. (See *Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 889.) The facts, even if assumed true, do not amount to a showing that funds were diverted to purchase property for the named individual cross-defendants, or even that any assistance was received *prior* to the email exchange with Schlesinger (in which it was communicated that Brass Door had not secured funds).

The request for judicial notice is **denied**.

D. Standard

A motion to expunge a *lis pendens* may be filed "at any time" after the *lis pendens* is recorded. (Code Civ. Proc., § 405.30.) The court may order the *lis pendens* expunged if: (1) the court finds that the pleading on which the notice is based does not contain a real property claim (Code Civ. Proc., § 405.31); (2) if the court finds that the claimant has not established by a preponderance of the evidence the probable validity of the real property claim (Code Civ. Proc., § 405.32); or (3) the court finds that the real property claim has probable validity, but adequate relief can be secured to the claimant by the giving of an undertaking (Code Civ. Proc., § 405.33).

"Unlike most other motions, when a motion to expunge is brought, the burden is on the party opposing the motion to show the existence of a real property claim." (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647, citing Code Civ. Proc., § 405.30.) The plaintiff must "at least establish a prima facie case. If the defendant makes an appearance, the court must then consider the relative merits of the positions of the respective parties and make a determination of the probable outcome of the litigation." (*Howard S. Wright Construction Co. v. Superior Court* (2003) 106 Cal.App.4th 314, 319.)

E. Discussion

(1) The Cross-Complaint Does Not Contain Real Property Claim

The cross-complaint seeks to impose a constructive trust on the Alamo residence. The remedy is sought as a means by which 8 to 5 Properties, LLC could obtain the money it claims to be owed based on the fraud / underpayment of rent by cross-defendants. In other words, as described in the moving papers and reply, there has been no real property claim asserted here.

Historically, there was some disagreement among the courts about whether a *lis pendens* was appropriate when a creditor sought to impose an equitable lien or constructive trust on real property to recover on a debt, like the present scenario. However, some clarity has been achieved over the evolution of case law. In *Lewis v. Superior Court* (1994) 30 Cal.App.4th 1850, purchasers of real property sought expungement of a *lis pendens* filed in an action alleging that the seller had originally purchased the property with misappropriated funds. The *Lewis* court found that (1) the essence of the complaint was an effort to impose a constructive trust on the property, (2) the majority line of cases held that such a claim does not permit the recording of a *lis pendens*, and (3) the 1992 revisions to the *lis pendens* statute did not overrule that line of cases. (*Lewis, supra*, 30 Cal.App.4th at 1859, 1862–1864; see also *Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 650 [distinguishing using fraudulently obtained funds to purchase property from fraudulent conveyance claim].)

The court in *Campbell v. Superior Court* (2005) 132 Cal.App.4th 904 followed the majority line of cases in holding that claims seeking imposition of a constructive trust and equitable lien did not support the recording of a *lis pendens*.

Here, cross-complainant makes no allegations that would support anything more than a right to money damages for the fraud alleged, thereby amounting to an equitable lien, not a right to any title to real property. Because the Court concludes no real property claim has been alleged, it need not engage in further analysis, but nonetheless provides the below commentary with respect to the probability of prevailing.

(2) Cross-Complainant Fails to Show Probable Validity

Cross-complainant argues that Shahla should have been a party to this motion to expunge since she is also on the title to Alamo property. Cross-complainant cites no authority for this position, other than a declaration by counsel with her opinion.

The argument begs multiple relevant questions. For example, assuming that Covid assistance was awarded to the Brass Door Restaurant Incorporated, there has been no showing that these corporate assets were appropriated by any named individual. The purchase of property by certain individuals within a group of persons, even a family, does not mean that the whole group is engaged in fraud. Questions remain as to who received or controlled the alleged funds, who was personally liable for the landlord's alleged debt, if anyone, and what competing claims existed to any relief funds. While counsel represents Shahla is on the title to the Alamo property, no direct evidence has been submitted of that fact. The cross-complainant fails to answer or explain how these questions affect its claims.

Because the burden to show a probability of prevailing falls on the party that recorded the *lis pendens*, and because a number of questions remain unanswered by the evidence presented here, the motion must be granted.

F. Attorneys' Fees

Pursuant to California Code of Civil Procedure section 405.38 provides that a "court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust." Both sides assert they are entitled to fees here. Milad Hejazian is the prevailing party, but reserves his right to request fees. Accordingly, the Court need not address any specific claims at this time.

5. 9:00 AM CASE NUMBER: C25-02209
CASE NAME: BRASS DOOR RESTAURANT INCORPORATED VS. 8 TO 5 PROPERTIES LLC
1ST AMENDED COMPLAINT
FILED BY: 8 TO 5 PROPERTIES LLC
TENTATIVE RULING:*

Defendants, 8 to 5 Properties LLC, and its managing member, Nancy Schlesinger, demur to the First Amended Complaint, filed by plaintiff, Brass Door Restaurant Incorporated. The demurrer is **OVERRULED**. Defendants' answer shall be filed and served on or before September 24, 2026 (this date is intended to accommodate hearing of the motion to strike set for September 14, 2026).

A. Allegations and Background

This is a commercial lease dispute involving a property in San Ramon at which plaintiff operated a restaurant. 8 to 5 Properties, LLC entered into the current lease with plaintiff's predecessor in interest on July 1, 2015. (FAC, Exhibit A [Lease].) The Lease is a 10-year lease with two 5-year options. Plaintiff took over the lease in March 2016. Rent at the time was $14,000 per month, and has increased each year such that it was $20,427.01 per month as of June 1, 2025. (FAC, ¶10-11.)

Plaintiff had been an exemplary tenant during the past 9 years of lease performance and has generally paid rent on time and in full and maintained the premises in good condition. (FAC, ¶12.) When the Covid pandemic hit, plaintiff, like every other restaurant in California, found itself subject to state and local government's severely restrictive shelter-in-place rules and could not operate at all, or was limited to takeout-only. (FAC, ¶13.) The rules severely impacted cash flow, including plaintiff's ability to pay rent. (*Ibid*.) Plaintiff conferred with its landlord about this emergency situation in April and May 2020. They agreed at that time that defendants would forgive April 2020 rent and reduce rent from May 1, 2020 - September 30, 2020. In conformance with parties' agreement, plaintiff started paying full rent in October 2020. (FAC, ¶14.)

Despite receiving full rent, defendant landlord has "agitated" for more money from plaintiff, demanding approximately $63,000. (FAC, ¶15.) Defendant landlord has further raised meritless complaints about maintenance, reported plaintiff to the local health department, and sent people to inspect the property without warning and at times when the inspections interfered with plaintiff's business. (FAC, ¶¶16-19.)

Plaintiff took actions to exercise its option to extend the lease. Specifically, Shahla Azad corresponded with the property manager for defendants. In her correspondence, Shahla proposed an adjustment to the amount of rent. Defendants have since attempted to repudiate that the option was exercised and charge holdover rent. (FAC, ¶¶20-24.)